



ARIZONA HOUSE OF REPRESENTATIVES FLOOR AMENDMENT EXPLANATION

57th Legislature, 2nd Regular Session

Majority Research Staff

HB 2946: municipalities; counties; development fees

POWELL FLOOR AMENDMENT

1. Grants the development fee payment options to a developer of multifamily residential dwelling units.
2. Changes the deferral payment of the development fees to *when the* certificate of occupancy is issued, rather than not more than 15 days after the certificate is issued.
3. Removes language relating to the requirement for municipalities to issue a credit toward or reimbursement from any development fees.
4. Deletes language relating to the limitations on the increases in current development fees or fee rates.
5. Restates that a municipality's new development fee cannot be assessed against a residential, commercial, industrial or multifamily development for twenty-four months after the effective date of the development fee ordinance that imposes a new or increased development fee if no subsequent changes are made to the approved site plan that increases the number of service units.
6. Restores language which prevents the twenty-four month period from being extended by a renewal or amendment of the site plan or the final subdivision plat that was the subject of the final approval.
7. Reinserts the specification, for the current owner in receiving a refund, that the difference between the actual and estimated cost is greater than 10%.
8. Removes language prohibiting a municipality from assessing a development fee on the development of an accessory dwelling unit.
9. Includes criteria for allowing a municipality to assess development fees for water and wastewater necessary public services on the development of an accessory dwelling unit.

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2/25/2026

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POWELL FLOOR AMENDMENT
HOUSE OF REPRESENTATIVES AMENDMENTS TO H.B. 2946
(Reference to RURAL ECONOMIC DEVELOPMENT Committee amendment)

Amendment instruction key:

[GREEN UPPERCASE UNDERLINING IN BRACKETS] indicates that the amendment is adding text to statute or previously enacted session law.
[Green lowercase underlining in brackets] indicates that the amendment is adding text to new session law or is restoring previously stricken text to existing statute.
~~[GREEN UPPERCASE STRIKEOUT IN BRACKETS]~~ indicates that the amendment is removing new text from statute or previously enacted session law.
~~[Green lowercase strikeout in brackets]~~ indicates that the amendment is removing text from existing statute, previously enacted session law or new session law.
<<Double green carets enclosing an entire section>> indicates that the amendment is adding the section to the bill.
~~<<Green strikeout with double green carets enclosing an entire section>>~~ indicates that the amendment is removing the section to the bill.
{[ORANGE UPPERCASE UNDERLINING IN DOUBLE CURLY BRACKETS]} indicates that the amendment to an amendment is adding text to statute or previously enacted session law.
{[Orange lowercase underlining in double curly brackets]} indicates that the amendment to an amendment is adding text to new session law or is restoring previously stricken text to existing statute.
~~{[ORANGE UPPERCASE STRIKEOUT IN DOUBLE CURLY BRACKETS]}~~ indicates that the amendment to an amendment is removing new text from statute or previously enacted session law.
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<<Double orange underlined carets enclosing an entire section>> indicate that the amendment to an amendment is adding the section to the bill.
~~<<Orange strikeout with double orange underlined carets enclosing an entire section>>~~ indicates that the amendment to an amendment is removing the section from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 9-463.05, Arizona Revised Statutes, is amended
3 to read:

4 9-463.05. Development fees; imposition by cities and towns;
5 infrastructure improvements plan; annual report;
6 advisory committee; limitation on actions;
7 definitions

8 A. A municipality may assess development fees to offset costs to
9 the municipality associated with providing necessary public services to a
10 development, including the costs of infrastructure, improvements, real
11 property, engineering and architectural services, financing and
12 professional services required for the preparation or revision of a
13 development fee pursuant to this section, including the relevant portion
14 of the infrastructure improvements plan.

15 B. Development fees assessed by a municipality under this section
16 are subject to the following requirements:

1 1. Development fees shall result in a beneficial use to the
2 development.

3 2. The municipality shall calculate the development fee based on
4 the infrastructure improvements plan adopted pursuant to this section.

5 3. The development fee shall not exceed a proportionate share of
6 the cost of necessary public services, based on service units, needed to
7 provide necessary public services to the development.

8 4. Costs for necessary public services made necessary by new
9 development shall be based on the same level of service provided to
10 existing development in the service area.

11 5. Development fees may not be used for any of the following:

12 (a) Construction, acquisition or expansion of public facilities or
13 assets other than necessary public services or facility expansions
14 identified in the infrastructure improvements plan.

15 (b) Repair, operation or maintenance of existing or new necessary
16 public services or facility expansions.

17 (c) Upgrading, updating, expanding, correcting or replacing
18 existing necessary public services to serve existing development in order
19 to meet stricter safety, efficiency, environmental or regulatory
20 standards.

21 (d) Upgrading, updating, expanding, correcting or replacing
22 existing necessary public services to provide a higher level of service to
23 existing development.

24 (e) Administrative, maintenance or operating costs of the
25 municipality.

26 6. Any development for which a development fee has been paid is
27 entitled to the use and benefit of the services for which the fee was
28 imposed and is entitled to receive immediate service from any existing
29 facility with available capacity to serve the new service units if the
30 available capacity has not been reserved or pledged in connection with the
31 construction or financing of the facility.

32 7. Development fees may be collected if any of the following
33 occurs:

34 (a) The collection is made to pay for a necessary public service or
35 facility expansion that is identified in the infrastructure improvements
36 plan and the municipality plans to complete construction and to have the
37 service available within the time period established in the infrastructure
38 ~~improvement~~ IMPROVEMENTS plan, but in no event longer than the time period
39 provided in subsection ~~H~~ I, paragraph 3 of this section.

40 (b) The municipality reserves in the infrastructure improvements
41 plan adopted pursuant to this section or otherwise agrees to reserve
42 capacity to serve future development.

43 (c) The municipality requires or agrees to allow the owner of a
44 development to construct or finance the necessary public service or
45 facility expansion and any of the following ~~apply~~ APPLIES:

46 (i) The costs incurred or money advanced are credited against or
47 reimbursed from the development fees otherwise due from a development.

1 (ii) The municipality reimburses the owner for those costs from the
2 development fees paid from all developments that will use those necessary
3 public services or facility expansions.

4 (iii) For those costs incurred the municipality allows the owner to
5 assign the credits or reimbursement rights from the development fees
6 otherwise due from a development to other developments for the same
7 category of necessary public services in the same service area.

8 8. Projected interest charges and other finance costs may be
9 included in determining the amount of development fees only if the monies
10 are used for the payment of principal and interest on the portion of the
11 bonds, notes or other obligations issued to finance construction of
12 necessary public services or facility expansions identified in the
13 infrastructure improvements plan.

14 9. Monies received from development fees assessed pursuant to this
15 section shall be placed in a separate fund and accounted for separately
16 and may only be used for the purposes authorized by this section. Monies
17 received from a development fee identified in an infrastructure
18 improvements plan adopted or updated pursuant to subsection D of this
19 section shall be used to provide the same category of necessary public
20 services or facility expansions for which the development fee was assessed
21 and for the benefit of the same service area, as defined in the
22 infrastructure improvements plan, in which the development fee was
23 assessed. Interest earned on monies in the separate fund shall be
24 credited to the fund.

25 10. The schedule for payment of fees shall be provided by the
26 municipality. Based on the cost identified in the infrastructure
27 improvements plan, the municipality shall provide a credit toward the
28 payment of a development fee for the required or agreed to dedication of
29 public sites, improvements and other necessary public services or facility
30 expansions included in the infrastructure improvements plan and for which
31 a development fee is assessed, to the extent the public sites,
32 improvements and necessary public services or facility expansions are
33 provided by the developer. The developer of residential dwelling units
34 ~~shall be required to pay development fees when construction permits for~~
35 ~~the dwelling units are issued, or at a later time if specified in a~~
36 ~~development agreement pursuant to section 9-500.05. If a development~~
37 ~~agreement provides for fees to be paid at a time later than the issuance~~
38 ~~of construction permits, the deferred fees shall be paid no later than~~
39 ~~fifteen days after the issuance of a certificate of occupancy. The~~
40 ~~development agreement shall provide for the value of any deferred fees to~~
41 ~~be supported by appropriate security, including a surety bond, letter of~~
42 ~~credit or cash bond~~{, INCLUDING MULTIFAMILY RESIDENTIAL DWELLING UNITS,}
43 MAY ELECT TO PAY DEVELOPMENT FEES AT THE TIME THE CONSTRUCTION PERMIT
44 ~~{FOR THE RESIDENTIAL DWELLING UNITS}}~~ IS ISSUED OR MAY ELECT TO DEFER
45 PAYMENT OF THE DEVELOPMENT FEES TO ~~{NOT MORE THAN FIFTEEN DAYS AFTER}}~~
46 ~~{WHEN}}~~ THE CERTIFICATE OF OCCUPANCY IS ISSUED. IF THE DEVELOPER ELECTS
47 TO DEFER PAYMENT OF THE DEVELOPMENT FEES FOR NOT MORE THAN FIFTEEN DAYS
48 AFTER THE CERTIFICATE OF OCCUPANCY IS ISSUED, THE MUNICIPALITY SHALL ALLOW
49 THE DEFERRED PAYMENT OF THE DEVELOPMENT FEES IF THE DEVELOPER PROVIDES

1 SECURITY IN AN AMOUNT EQUAL TO THE DEFERRED DEVELOPMENT FEES. THE
2 SECURITY PROVIDED BY THE DEVELOPER MAY BE IN THE FORM OF A SURETY BOND,
3 LETTER OF CREDIT OR CASH BOND. A MUNICIPALITY MAY NOT REQUIRE A
4 DEVELOPMENT AGREEMENT PURSUANT TO SECTION 9-500.05 AS A CONDITION OF
5 ALLOWING DEFERRED PAYMENT OF DEVELOPMENT FEES. A MUNICIPALITY MAY NOT
6 REQUIRE A DEVELOPER TO PAY DEVELOPMENT FEES EARLIER THAN THE TIME ELECTED
7 BY THE DEVELOPER PURSUANT TO THIS PARAGRAPH.

8 11. If a municipality requires as a condition of development
9 approval the construction or improvement of, contributions to or
10 dedication of any facilities that were not included in a previously
11 adopted infrastructure improvements plan, the municipality shall cause the
12 infrastructure improvements plan to be amended to include the facilities
13 and shall provide a credit toward the payment of a development fee for the
14 construction, improvement, contribution or dedication of the facilities to
15 the extent that the facilities will substitute for or otherwise reduce the
16 need for other similar facilities in the infrastructure improvements plan
17 for which development fees were assessed. ~~{{IF A MUNICIPALITY REQUIRES AS
18 A CONDITION OF DEVELOPMENT APPROVAL THE SET ASIDE OF ACTIVE OR PASSIVE
19 OPEN SPACE, THE MUNICIPALITY SHALL ISSUE A CREDIT TOWARD ANY DEVELOPMENT
20 FEES IDENTIFIED IN THE INFRASTRUCTURE IMPROVEMENTS PLAN TO FUND ANY PARK
21 FACILITIES OR FACILITY EXPANSION. ON REQUEST OF THE INDIVIDUAL OR ENTITY
22 SEEKING DEVELOPMENT APPROVAL, INSTEAD OF ISSUING A CREDIT TOWARD THE
23 PAYMENT OF DEVELOPMENT FEES, THE MUNICIPALITY SHALL PROVIDE FOR
24 REIMBURSEMENT FROM THE DEVELOPMENT FEES PAID FROM ALL DEVELOPMENT THAT
25 WILL USE THOSE FACILITIES OR FACILITY EXPANSIONS OF THE ACTUAL COSTS OF
26 THE CONSTRUCTION OR IMPROVEMENT OF, CONTRIBUTIONS TO OR DEDICATION OF THE
27 PUBLIC FACILITIES REQUIRED AS A CONDITION OF DEVELOPMENT APPROVAL.}}~~

28 12. The municipality shall forecast the contribution to be made in
29 the future in cash or by taxes, fees, assessments or other sources of
30 revenue derived from the property owner towards the capital costs of the
31 necessary public service covered by the development fee and shall include
32 these contributions in determining the extent of the burden imposed by the
33 development. ~~Beginning August 1, 2014,~~ For purposes of calculating the
34 required offset to development fees pursuant to this subsection, if a
35 municipality imposes a construction contracting or similar excise tax
36 rate[;] [in excess of the percentage amount of the transaction privilege
37 tax rate imposed on the majority of other transaction privilege tax
38 classifications, the entire excess portion of the construction contracting
39 or similar excise tax] ~~[THE FULL AMOUNT]~~ shall be treated as a
40 contribution to the capital costs of necessary public services provided to
41 development for which development fees are assessed, unless the excess
42 portion was already taken into account for such purpose pursuant to this
43 subsection.

44 13. If development fees are assessed by a municipality, the fees
45 shall be assessed against commercial, residential and industrial
46 development. ~~, except that~~ The municipality may distinguish between
47 different categories of residential, commercial and industrial development
48 in assessing the costs to the municipality of providing necessary public
49 services to new development and in determining the amount of the

1 development fee applicable to the category of development, EXCEPT THAT THE
2 MUNICIPALITY MAY NOT DISTINGUISH BETWEEN RESIDENTIAL DEVELOPMENTS ON THE
3 BASIS OF THE SIZE OF THE RESIDENTIAL DWELLING UNIT OR NUMBER OF BEDROOMS.
4 If a municipality agrees to waive any of the development fees assessed on
5 a development, the municipality shall reimburse the appropriate
6 development fee accounts for the amount that was waived. The municipality
7 shall provide notice of any such waiver to the advisory committee
8 established pursuant to subsection ~~G~~ H of this section within thirty
9 days.

10 14. In determining and assessing a development fee applying to land
11 in a community facilities district established under title 48, chapter 4,
12 article 6, the municipality shall take into account all public
13 infrastructure provided by the district and capital costs paid by the
14 district for necessary public services and shall not assess a portion of
15 the development fee based on the infrastructure or costs.

16 ~~{{15. THE ADOPTION OF AN INCREASE IN A CURRENT DEVELOPMENT FEE~~
17 ~~PURSUANT TO SUBSECTION D OF THIS SECTION IS SUBJECT TO THE FOLLOWING:~~

18 ~~(a) AN INCREASE OF LESS THAN TWENTY-FIVE PERCENT OF THE CURRENT~~
19 ~~DEVELOPMENT FEE SHALL BE IMPLEMENTED IN TWO EQUAL ANNUAL INSTALLMENTS~~
20 ~~BEGINNING ON THE DATE ON WHICH THE INCREASED DEVELOPMENT FEE IS ADOPTED.~~

21 ~~(b) AN INCREASE OF MORE THAN TWENTY-FIVE PERCENT BUT LESS THAN~~
22 ~~FIFTY PERCENT OF THE CURRENT DEVELOPMENT FEE SHALL BE IMPLEMENTED IN FOUR~~
23 ~~EQUAL ANNUAL INSTALLMENTS BEGINNING ON THE DATE ON WHICH THE INCREASED~~
24 ~~DEVELOPMENT FEE IS ADOPTED.~~

25 ~~(c) AN INCREASE IN A DEVELOPMENT FEE MAY NOT EXCEED FIFTY PERCENT~~
26 ~~OF THE CURRENT DEVELOPMENT FEE.~~

27 ~~(d) A DEVELOPMENT FEE MAY NOT BE INCREASED MORE THAN ONCE EVERY~~
28 ~~FOUR YEARS AND MAY NOT BE INCREASED RETROACTIVELY IN A CURRENT FISCAL OR~~
29 ~~CALENDAR YEAR OR TO A PREVIOUS FISCAL OR CALENDAR YEAR.~~

30 ~~16. A MUNICIPALITY MAY INCREASE A DEVELOPMENT FEE RATE BEYOND THE~~
31 ~~LIMITS OF PARAGRAPH 15 OF THIS SUBSECTION IF ALL OF THE FOLLOWING APPLY:~~

32 ~~(a) AN ORDINANCE TO INCREASE THE DEVELOPMENT FEE IS APPROVED BY A~~
33 ~~UNANIMOUS VOTE OF THE GOVERNING BODY OF THE MUNICIPALITY.~~

34 ~~(b) THE MUNICIPALITY PROVIDES A REPORT THAT HAS BEEN COMPLETED IN~~
35 ~~THE TWELVE MONTHS BEFORE THE ORDINANCE THAT APPROVES THE INCREASE IN~~
36 ~~DEVELOPMENT FEES.~~

37 ~~(c) THE REPORT PROVIDED PURSUANT TO SUBDIVISION (b) OF THIS~~
38 ~~PARAGRAPH DEMONSTRATES EXTRAORDINARY CIRCUMSTANCES THAT REQUIRE AN~~
39 ~~INCREASE IN DEVELOPMENT FEES OF MORE THAN THE AMOUNTS PRESCRIBED IN~~
40 ~~PARAGRAPH 15 OF THIS SUBSECTION.}}~~

41 C. A municipality shall give at least thirty days' advance notice
42 of intention to assess a development fee and shall release to the public
43 and post on its website or the website of an association of cities and
44 towns if a municipality does not have a website a written report of the
45 land use assumptions and infrastructure improvements plan adopted pursuant
46 to subsection D of this section. The municipality shall conduct a public
47 hearing on the proposed development fee at any time after the expiration
48 of the thirty day notice of intention to assess a development fee and at
49 least thirty days before the scheduled date of adoption of the fee by the

1 governing body. Within sixty days after the date of the public hearing on
2 the proposed development fee, a municipality shall approve or disapprove
3 the imposition of the development fee. A municipality shall not adopt an
4 ordinance, order or resolution approving a development fee as an emergency
5 measure. A development fee assessed pursuant to this section shall not be
6 effective until seventy-five days after its formal adoption by the
7 governing body of the municipality. Nothing in this subsection shall
8 affect any development fee adopted before July 24, 1982.

9 D. Before the adoption or amendment of a development fee, the
10 governing body of the municipality shall adopt or update the land use
11 assumptions and infrastructure improvements plan for the designated
12 service area. The municipality shall conduct a public hearing on the land
13 use assumptions and infrastructure improvements plan at least thirty days
14 before the adoption or update of the plan. The municipality shall release
15 the plan to the public, post the plan on its website or the website of an
16 association of cities and towns if the municipality does not have a
17 website, including in the posting its land use assumptions, the time
18 period of the projections, a description of the necessary public services
19 included in the infrastructure improvements plan and a map of the service
20 area to which the land use assumptions apply, make available to the public
21 the documents used to prepare the assumptions and plan and provide public
22 notice at least sixty days before the public hearing, subject to the
23 following:

24 1. The land use assumptions and infrastructure improvements plan
25 shall be approved or disapproved within sixty days after the public
26 hearing on the land use assumptions and infrastructure improvements plan
27 and at least thirty days before the public hearing on the report required
28 by subsection C of this section. A municipality shall not adopt an
29 ordinance, order or resolution approving the land use assumptions or
30 infrastructure improvements plan as an emergency measure.

31 2. An infrastructure improvements plan shall be developed by
32 qualified professionals using generally accepted engineering and planning
33 practices pursuant to subsection E of this section.

34 3. A municipality shall update the land use assumptions and
35 infrastructure improvements plan at least every five years. The initial
36 five year period begins on the day the infrastructure improvements plan is
37 adopted. The municipality shall review and evaluate its current land use
38 assumptions and shall cause an update of the infrastructure improvements
39 plan to be prepared pursuant to this section.

40 4. Within sixty days after completion of the updated land use
41 assumptions and infrastructure improvements plan, the municipality shall
42 schedule and provide notice of a public hearing to discuss and review the
43 update and shall determine whether to amend the assumptions and plan.

44 5. A municipality shall hold a public hearing to discuss the
45 proposed amendments to the land use assumptions, the infrastructure
46 improvements plan or the development fee. The land use assumptions and
47 the infrastructure improvements plan, including the amount of any proposed
48 changes to the development fee per service unit, shall be made available

1 to the public on or before the date of the first publication of the notice
2 of the hearing on the amendments.

3 6. The notice and hearing procedures prescribed in paragraph 1 of
4 this subsection apply to a hearing on the amendment of land use
5 assumptions, an infrastructure improvements plan or a development fee.
6 Within sixty days after the date of the public hearing on the amendments,
7 a municipality shall approve or disapprove the amendments to the land use
8 assumptions, infrastructure improvements plan or development fee. A
9 municipality shall not adopt an ordinance, order or resolution approving
10 the amended land use assumptions, infrastructure improvements plan or
11 development fee as an emergency measure.

12 7. The advisory committee established under subsection ~~H~~ H of this
13 section shall file its written comments on any proposed or updated land
14 use assumptions, infrastructure improvements plan and development fees
15 before the fifth business day before the date of the public hearing on the
16 proposed or updated assumptions, plan and fees.

17 8. If, at the time an update as prescribed in paragraph 3 of this
18 subsection is required, the municipality determines that no changes to the
19 land use assumptions, infrastructure improvements plan or development fees
20 are needed, the municipality may as an alternative to the updating
21 requirements of this subsection publish notice of its determination on its
22 website and include the following:

23 (a) A statement that the municipality has determined that no change
24 to the land use assumptions, infrastructure improvements plan or
25 development fee is necessary.

26 (b) A description and map of the service area in which an update
27 has been determined to be unnecessary.

28 (c) A statement that by a specified date, which shall be at least
29 sixty days after the date of publication of the first notice, a person may
30 make a written request to the municipality requesting that the land use
31 assumptions, infrastructure improvements plan or development fee be
32 updated.

33 (d) A statement identifying the person or entity to whom the
34 written request for an update should be sent.

35 9. If, by the date specified pursuant to paragraph 8 of this
36 subsection, a person requests in writing that the land use assumptions,
37 infrastructure improvements plan or development fee be updated, the
38 municipality shall cause, accept or reject an update of the assumptions
39 and plan to be prepared pursuant to this subsection.

40 10. Notwithstanding the notice and hearing requirements for
41 adoption of an infrastructure improvements plan, a municipality may amend
42 an infrastructure improvements plan adopted pursuant to this section
43 without a public hearing if the amendment addresses only elements of
44 necessary public services in the existing infrastructure improvements plan
45 and the changes to the plan will not, individually or cumulatively with
46 other amendments adopted pursuant to this subsection, increase the level
47 of service in the service area or cause a development fee increase of
48 greater than five ~~per cent~~ PERCENT when a new or modified development fee
49 is assessed pursuant to this section. The municipality shall provide

1 notice of any such amendment at least thirty days before adoption, shall
2 post the amendment on its website or on the website of an association of
3 cities and towns if the municipality does not have a website and shall
4 provide notice to the advisory committee established pursuant to
5 subsection ~~G~~ H of this section that the amendment complies with this
6 subsection.

7 E. For each necessary public service that is the subject of a
8 development fee, the infrastructure improvements plan shall include:

9 1. A description of the existing necessary public services in the
10 service area and the costs to upgrade, update, improve, expand, correct or
11 replace those necessary public services to meet existing needs and usage
12 and stricter safety, efficiency, environmental or regulatory standards,
13 which shall be prepared by qualified professionals licensed in this state,
14 as applicable.

15 2. An analysis of the total capacity, the level of current usage
16 and commitments for usage of capacity of the existing necessary public
17 services, which shall be prepared by qualified professionals licensed in
18 this state, as applicable.

19 3. A description of all or the parts of the necessary public
20 services or facility expansions and their costs necessitated by and
21 attributable to development in the service area based on the approved land
22 use assumptions, including a forecast of the costs of infrastructure,
23 improvements, real property, financing, engineering and architectural
24 services, which shall be prepared by qualified professionals licensed in
25 this state, as applicable.

26 4. A table establishing the specific level or quantity of use,
27 consumption, generation or discharge of a service unit for each category
28 of necessary public services or facility expansions and an equivalency or
29 conversion table establishing the ratio of a service unit to various types
30 of land uses, including residential, commercial and industrial.

31 5. The total number of projected service units necessitated by and
32 attributable to new development in the service area based on the approved
33 land use assumptions and calculated pursuant to generally accepted
34 engineering and planning criteria.

35 6. The projected demand for necessary public services or facility
36 expansions required by new service units for a period not to exceed ten
37 years.

38 7. A forecast of revenues generated by new service units other than
39 development fees, which shall include estimated state-shared revenue,
40 highway ~~users~~ USER revenue, federal revenue, ad valorem property taxes,
41 construction contracting or similar excise taxes and the capital recovery
42 portion of utility fees attributable to development based on the approved
43 land use assumptions, and a plan to include these contributions in
44 determining the extent of the burden imposed by the development as
45 required in subsection B, paragraph 12 of this section.

46 F. A municipality's development fee ordinance shall provide that a
47 new development fee or an increased portion of a modified development fee
48 ~~shall not be assessed against a development for twenty-four months after~~
49 ~~the date that the municipality issues the final approval for a commercial,~~

1 ~~industrial or multifamily development or the date that the first building~~
2 ~~permit is issued for a residential development pursuant to an approved~~
3 ~~site plan or subdivision plat, provided that no subsequent changes are~~
4 ~~made to the approved site plan or subdivision plat that would increase the~~
5 ~~number of service units. {{EITHER:~~
6 ~~1.}} A RESIDENTIAL {{, COMMERCIAL, INDUSTRIAL OR MULTIFAMILY}}~~
7 ~~DEVELOPMENT FOR {{WHICH THE MUNICIPALITY HAS APPROVED A FINAL SUBDIVISION~~
8 ~~PLAT FOR THE DURATION OF THE BUILD-OUT OF THE SUBDIVISION IF NO SUBSEQUENT~~
9 ~~CHANGES ARE MADE TO THE APPROVED FINAL SUBDIVISION PLAT THAT WOULD~~
10 ~~INCREASE THE NUMBER OF SERVICE UNITS. IF THE NUMBER OF SERVICE UNITS~~
11 ~~INCREASES, THE NEW DEVELOPMENT FEE OR INCREASED PORTION OF THE MODIFIED~~
12 ~~DEVELOPMENT FEE SHALL BE LIMITED TO THE AMOUNT THAT IS ATTRIBUTED TO THE~~
13 ~~ADDITIONAL SERVICE UNITS}} {{TWENTY-FOUR MONTHS AFTER THE EFFECTIVE DATE~~
14 ~~OF THE DEVELOPMENT FEE ORDINANCE THAT IMPOSES A NEW OR INCREASED~~
15 ~~DEVELOPMENT FEE IF NO SUBSEQUENT CHANGES ARE MADE TO THE APPROVED SITE~~
16 ~~PLAN THAT INCREASES THE NUMBER OF SERVICE UNITS}}.~~
17 ~~{{2. A COMMERCIAL, INDUSTRIAL OR MULTIFAMILY DEVELOPMENT FOR~~
18 ~~TWENTY-FOUR MONTHS AFTER THE EFFECTIVE DATE OF THE DEVELOPMENT FEE~~
19 ~~ORDINANCE THAT IMPOSES A NEW OR INCREASED DEVELOPMENT FEE IF NO SUBSEQUENT~~
20 ~~CHANGES ARE MADE TO THE APPROVED SITE PLAN THAT INCREASES THE NUMBER OF~~
21 ~~SERVICE UNITS.}}~~ If the number of service units increases, the new or
22 increased portion of a modified development fee shall be limited to the
23 amount attributable to the additional service units. {{The twenty-four
24 month period shall not be extended by a renewal or amendment of the site
25 plan or the final subdivision plat that was the subject of the final
26 approval.}}
27 G. The municipality shall issue, on request, a written statement of
28 the development fee schedule applicable to the development. If, after the
29 date of the municipality's final approval of a development, the
30 municipality reduces the development fee assessed on development, the
31 reduced fee shall apply to the development.
32 ~~G.~~ H. A municipality shall do one of the following:
33 1. Before the adoption of proposed or updated land use assumptions,
34 infrastructure improvements plan and development fees as prescribed in
35 subsection D of this section, the municipality shall appoint an
36 infrastructure improvements advisory committee, subject to the following
37 requirements:
38 (a) The advisory committee shall be composed of at least five
39 members who are appointed by the governing body of the municipality. At
40 least fifty ~~per cent~~ PERCENT of the members of the advisory committee must
41 be representatives of the real estate, development or building industries,
42 of which at least one member of the committee must be from the home
43 building industry. Members shall not be employees or officials of the
44 municipality.

1 (b) The advisory committee shall serve in an advisory capacity and
2 shall:

3 (i) Advise the municipality in adopting land use assumptions and in
4 determining whether the assumptions are in conformance with the general
5 plan of the municipality.

6 (ii) Review the infrastructure improvements plan and file written
7 comments.

8 (iii) Monitor and evaluate implementation of the infrastructure
9 improvements plan.

10 (iv) Every year file reports with respect to the progress of the
11 infrastructure improvements plan and the collection and expenditures of
12 development fees and report to the municipality any perceived inequities
13 in implementing the plan or imposing the development fee.

14 (v) Advise the municipality of the need to update or revise the
15 land use assumptions, infrastructure improvements plan and development
16 fee.

17 (c) The municipality shall make available to the advisory committee
18 any professional reports with respect to developing and implementing the
19 infrastructure improvements plan.

20 (d) The municipality shall adopt procedural rules for the advisory
21 committee to follow in carrying out the committee's duties.

22 2. In lieu of creating an advisory committee pursuant to paragraph
23 1 of this subsection, provide for a biennial certified audit of the
24 municipality's land use assumptions, infrastructure improvements plan and
25 development fees. An audit pursuant to this paragraph shall be conducted
26 by one or more qualified professionals who are not employees or officials
27 of the municipality and who did not prepare the infrastructure
28 improvements plan. The audit shall review the progress of the
29 infrastructure improvements plan, including the collection and
30 expenditures of development fees for each project in the plan, and
31 evaluate any inequities in implementing the plan or imposing the
32 development fee. The municipality shall post the findings of the audit on
33 the municipality's website or the website of an association of cities and
34 towns if the municipality does not have a website and shall conduct a
35 public hearing on the audit within sixty days of the release of the audit
36 to the public.

37 ~~H.~~ I. On written request, an owner of real property for which a
38 development fee has been paid after July 31, 2014 is entitled to a refund
39 of a development fee or any part of a development fee if:

40 1. Pursuant to subsection B, paragraph 6 of this section, existing
41 facilities are available and service is not provided.

42 2. The municipality has, after collecting the fee to construct a
43 facility when service is not available, failed to complete construction
44 within the time period identified in the infrastructure improvements plan,
45 but in no event later than the time period specified in paragraph 3 of
46 this subsection.

47 3. For a development fee other than a development fee for water or
48 wastewater facilities, any part of the development fee is not spent as
49 authorized by this section within ten years after the fee has been paid

1 or, for a development fee for water or wastewater facilities, any part of
2 the development fee is not spent as authorized by this section within
3 fifteen years after the fee has been paid.

4 ~~I.~~ J. If the development fee was collected for the construction of
5 all or a portion of a specific item of infrastructure, and on completion
6 of the infrastructure the municipality determines that the actual cost of
7 construction was less than the forecasted cost of construction on which
8 the development fee was based {{and the difference between the actual and
9 estimated cost is greater than ten }} ~~per cent~~ {{PERCENT}}, the current
10 owner may receive a refund of the portion of the development fee equal to
11 the difference between the development fee paid and the development fee
12 that would have been due if the development fee had been calculated at the
13 actual construction cost.

14 ~~J.~~ K. A refund shall include any interest earned by the
15 municipality from the date of collection to the date of refund on the
16 amount of the refunded fee. All refunds shall be made to the record owner
17 of the property at the time the refund is paid. If the development fee is
18 paid by a governmental entity, the refund shall be paid to the
19 governmental entity.

20 ~~K.~~ L. A development fee that was adopted before January 1, 2012
21 may continue to be assessed only to the extent that it will be used to
22 provide a necessary public service for which development fees can be
23 assessed pursuant to this section and shall be replaced by a development
24 fee imposed under this section on or before August 1, 2014. Any
25 municipality having a development fee that has not been replaced under
26 this section on or before August 1, 2014 shall not collect development
27 fees until the development fee has been replaced with a fee that complies
28 with this section. Any development fee monies collected before January 1,
29 2012 remaining in a development fee account:

30 1. Shall be used towards the same category of necessary public
31 services as authorized by this section.

32 2. If development fees were collected for a purpose not authorized
33 by this section, shall be used for the purpose for which they were
34 collected on or before January 1, 2020, and after which, if not spent,
35 shall be distributed equally among the categories of necessary public
36 services authorized by this section.

37 ~~L.~~ M. A moratorium shall not be placed on development for the sole
38 purpose of awaiting completion of all or any part of the process necessary
39 to develop, adopt or update development fees.

40 ~~M.~~ N. In any judicial action interpreting this section, all powers
41 conferred on municipal governments in this section shall be narrowly
42 construed to ensure that development fees are not used to impose on new
43 residents a burden all taxpayers of a municipality should bear equally.

44 ~~N.~~ O. Each municipality that assesses development fees shall
45 submit an annual report accounting for the collection and use of the fees
46 for each service area. The annual report shall include the following:

47 1. The amount assessed by the municipality for each type of
48 development fee.

1 2. The balance of each fund maintained for each type of development
2 fee assessed as of the beginning and end of the fiscal year.

3 3. The amount of interest or other earnings on the monies in each
4 fund as of the end of the fiscal year.

5 4. The amount of development fee monies used to repay:

6 (a) Bonds issued by the municipality to pay the cost of a capital
7 improvement project that is the subject of a development fee assessment,
8 including the amount needed to repay the debt service obligations on each
9 facility for which development fees have been identified as the source of
10 funding and the time frames in which the debt service will be repaid.

11 (b) Monies advanced by the municipality from funds other than the
12 funds established for development fees in order to pay the cost of a
13 capital improvement project that is the subject of a development fee
14 assessment, the total amount advanced by the municipality for each
15 facility, the source of the monies advanced and the terms under which the
16 monies will be repaid to the municipality.

17 5. The amount of development fee monies spent on each capital
18 improvement project that is the subject of a development fee assessment
19 and the physical location of each capital improvement project.

20 6. The amount of development fee monies spent for each purpose
21 other than a capital improvement project that is the subject of a
22 development fee assessment.

23 ~~P.~~ **P.** Within ninety days following the end of each fiscal year,
24 each municipality shall submit a copy of the annual report to the city
25 clerk and post the report on the municipality's website or the website of
26 an association of cities and towns if the municipality does not have a
27 website. Copies shall be made available to the public on request. The
28 annual report may contain financial information that has not been audited.

29 ~~P.~~ **Q.** A municipality that fails to file the report and post the
30 report on the municipality's website or the website of an association of
31 cities and towns if the municipality does not have a website as required
32 by this section shall not collect development fees until the report is
33 filed and posted.

34 ~~R.~~ **R.** Any action to collect a development fee shall be commenced
35 within two years after the obligation to pay the fee accrues.

36 ~~R.~~ **S.** A municipality may continue to assess a development fee
37 adopted before January 1, 2012 for any facility that was financed before
38 June 1, 2011 if:

39 1. Development fees were pledged to repay debt service obligations
40 related to the construction of the facility.

41 2. After August 1, 2014, any development fees collected under this
42 subsection are used solely for the payment of principal and interest on
43 the portion of the bonds, notes or other debt service obligations issued
44 before June 1, 2011 to finance construction of the facility.

45 ~~S.~~ **T.** Through August 1, 2014, a development fee adopted before
46 January 1, 2012 may be used to finance construction of a facility and may
47 be pledged to repay debt service obligations if:

1 1. The facility that is being financed is a facility that is
2 described under subsection ~~F~~ V, paragraph 7, subdivisions (a) through ~~(g)~~
3 (e) of this section.

4 2. The facility was included in an infrastructure improvements plan
5 adopted before June 1, 2011.

6 3. The development fees are used for the payment of principal and
7 interest on the portion of the bonds, notes or other debt service
8 obligations issued to finance construction of the necessary public
9 services or facility expansions identified in the infrastructure
10 ~~improvement~~ IMPROVEMENTS plan.

11 U. ~~{{NOTWITHSTANDING ANY OTHER LAW, A MUNICIPALITY MAY NOT ASSESS A~~
12 ~~DEVELOPMENT FEE ON THE DEVELOPMENT OF AN ACCESSORY DWELLING UNIT.}}~~ ~~{{A~~
13 ~~MUNICIPALITY MAY ASSESS DEVELOPMENT FEES FOR WATER AND WASTEWATER~~
14 ~~NECESSARY PUBLIC SERVICES ON THE DEVELOPMENT OF AN ACCESSORY DWELLING UNIT~~
15 ~~IF THE ADDITION OF ONE OR MORE ACCESSORY DWELLING UNITS WOULD HAVE~~
16 ~~REQUIRED INSTALLING A LARGER UTILITY METER HAD THE ADDITIONAL ACCESSORY~~
17 ~~DWELLING UNIT OR UNITS BEEN CONSTRUCTED CONCURRENTLY WITH THE PRIMARY~~
18 ~~DWELLING UNIT AND THE SHARED UTILITY METER. THE PROPORTIONATE SHARE OF~~
19 ~~THE DEVELOPMENT FEE FOR WATER AND WASTEWATER SHALL BE THE DIFFERENCE~~
20 ~~BETWEEN THE CURRENT FEE-PER-METER SIZE FOR THE PRIMARY DWELLING UNIT AND~~
21 ~~THE LARGER SIZE THAT IS NECESSARY TO ACCOMMODATE THE DEVELOPMENT OF THE~~
22 ~~ACCESSORY DWELLING UNIT OR UNITS.}}~~ FOR THE PURPOSES OF THIS SUBSECTION,
23 "ACCESSORY DWELLING UNIT" HAS THE SAME MEANING PRESCRIBED IN SECTION
24 9-461.18.

25 ~~F~~ V. For the purposes of this section:

26 1. "Dedication" means the actual conveyance date or the date an
27 improvement, facility or real or personal property is placed into service,
28 whichever occurs first.

29 2. "Development" means:

30 (a) The subdivision of land.

31 (b) The construction, reconstruction, conversion, structural
32 alteration, relocation or enlargement of any structure that adds or
33 increases the number of service units.

34 (c) Any use or extension of the use of land that increases the
35 number of service units.

36 3. "Facility expansion" means the expansion of the capacity of an
37 existing facility that serves the same function as an otherwise new
38 necessary public service in order that the existing facility may serve new
39 development. Facility expansion does not include the repair, maintenance,
40 modernization or expansion of an existing facility to better serve
41 existing development.

42 4. "Final approval" means:

43 (a) For a nonresidential or multifamily development, the approval
44 of a site plan or, if no site plan is submitted for the development, the
45 approval of a final subdivision plat.

46 (b) For a single family residential development, the approval of a
47 final subdivision plat.

48 5. "Infrastructure improvements plan" means a written plan that
49 identifies each necessary public service or facility expansion that is

1 proposed to be the subject of a development fee and otherwise complies
2 with the requirements of this section, and may be the municipality's
3 capital improvements plan.

4 6. "Land use assumptions" means projections of changes in land
5 uses, densities, intensities and population for a specified service area
6 over a period of at least ten years and pursuant to the general plan of
7 the municipality.

8 7. "Necessary public service" means any of the following facilities
9 that have a life expectancy of three or more years and that are owned and
10 operated by or on behalf of the municipality:

11 (a) Water facilities, including the supply, transportation,
12 treatment, purification and distribution of water, and any appurtenances
13 for those facilities.

14 (b) Wastewater facilities, including collection, interception,
15 transportation, treatment and disposal of wastewater, and any
16 appurtenances for those facilities.

17 (c) ~~Storm water~~ STORMWATER, drainage and flood control facilities,
18 including any appurtenances for those facilities.

19 [(d) Library facilities of up to ten thousand square feet that
20 provide a direct benefit to development, not including equipment, vehicles
21 or appurtenances.]

22 [(e) ~~(d)~~ Street facilities located in the service area,
23 including arterial or collector streets or roads that have been designated
24 on an officially adopted plan of the municipality, traffic signals and
25 rights-of-way and improvements thereon.

26 [(f) ~~(e)~~ Fire and police facilities, including all
27 appurtenances, equipment and vehicles. Fire and police facilities do not
28 include a facility or portion of a facility that is used to replace
29 services that were once provided elsewhere in the municipality, vehicles
30 and equipment used to provide administrative services, helicopters or
31 airplanes or a facility that is used for training firefighters or officers
32 from more than one station or substation.

33 [(g) Neighborhood parks and recreational facilities on real
34 property up to thirty acres in area, or parks and recreational facilities
35 larger than thirty acres if the facilities provide a direct benefit to the
36 development. Park and recreational facilities do not include vehicles,
37 equipment or that portion of any facility that is used for amusement
38 parks, aquariums, aquatic centers, auditoriums, arenas, arts and cultural
39 facilities, bandstand and orchestra facilities, bathhouses, boathouses,
40 clubhouses, community centers greater than three thousand square feet in
41 floor area, environmental education centers, equestrian facilities, golf
42 course facilities, greenhouses, lakes, museums, theme parks, water
43 reclamation or riparian areas, wetlands, zoo facilities or similar
44 recreational facilities, but may include swimming pools.]

45 [(h) ~~(f)~~ Any facility that was financed and that meets all of
46 the requirements prescribed in subsection ~~R~~ S of this section.

47 8. "Qualified professional" means a professional engineer,
48 surveyor, financial analyst or planner providing services within the scope
49 of the person's license, education or experience.

1 9. "Service area":

2 (a) Means any specified area within the boundaries of a
3 municipality in which development will be served by necessary public
4 services or facility expansions and within which a substantial nexus
5 exists between the necessary public services or facility expansions and
6 the development being served as prescribed in the infrastructure
7 improvements plan.

8 (b) INCLUDES THE SERVICE TERRITORY OF WATER OR WASTEWATER
9 FACILITIES, WHETHER INSIDE OR OUTSIDE OF THE BOUNDARIES OF THE
10 MUNICIPALITY, IF THE MUNICIPALITY PROVIDES WATER AND WASTEWATER SERVICES.

11 10. "Service unit" means a standardized measure of consumption,
12 use, generation or discharge attributable to an individual unit of
13 development calculated pursuant to generally accepted engineering or
14 planning standards for a particular category of necessary public services
15 or facility expansions.

16 Sec. 2. Section 9-511.01, Arizona Revised Statutes, is amended to
17 read:

18 9-511.01. Water and wastewater business; rates; procedures;
19 responsibility for payments

20 A. A municipality engaging in a domestic water or wastewater
21 business shall not increase any water or wastewater rate or rate
22 component, fee or service charge without complying with the following:

23 1. Prepare a written report or supply data supporting the increased
24 rate or rate component, fee or service charge. The report or supporting
25 data shall include cash flow projections that indicate all anticipated
26 revenues from residential and nonresidential customers and the overall
27 expenses for providing water or wastewater service. A copy of the report
28 and cash flow projections shall be made available to the public by filing
29 a copy in the office of the clerk of the municipality governing board and
30 posting the report and cash flow projections on the municipality's website
31 or the website of an association of cities and towns if the municipality
32 does not have a website at least thirty days before the public hearing
33 described in paragraph 2 of this subsection.

34 2. Adopt a notice of intention by motion at a regular council
35 meeting to increase water or wastewater rates or rate components, fees or
36 service charges and set a date for a public hearing on the proposed
37 increase that shall be held at least sixty days after adoption of the
38 notice of intention. A copy of the notice of intention showing the date,
39 time and place of the hearing shall be published one time in a newspaper
40 of general circulation within the boundaries of the municipality not less
41 than twenty days before the public hearing date.

42 3. ANY WATER OR WASTEWATER RATE, RATE COMPONENT, FEE OR SERVICE
43 CHARGE ASSESSED TO FUND NEW INFRASTRUCTURE OR CAPITAL IMPROVEMENTS SHALL
44 COMPLY WITH THE REQUIREMENTS PRESCRIBED IN SECTION 9-463.05.

45 B. After holding the public hearing, the governing body may adopt,
46 by ordinance or resolution, the proposed rate or rate component, fee or
47 service charge increase or any lesser increase.

1 C. Notwithstanding section 19-142, subsection B, the increased rate
2 or rate component, fee or service charge shall become effective thirty
3 days after adoption of the ordinance or resolution.

4 D. Any proposed water or wastewater rate or rate component, fee or
5 service charge adjustment or increase shall be just and reasonable.

6 E. Rates and charges demanded or received by municipalities for
7 water and wastewater service shall be just and reasonable. Every unjust
8 or unreasonable rate or charge demanded or received by a municipality is
9 prohibited and unlawful.

10 F. A municipality may not assess or collect a fee on new water or
11 wastewater service connections at the time of the establishment of service
12 to those connections for the purpose of recovering the municipality's
13 costs of acquiring, whether by purchase or by eminent domain, the utility
14 plant, facilities, system or other property of a public service
15 corporation or another municipality engaged in the business of providing
16 water or wastewater service. This subsection does not apply to water or
17 wastewater fees adopted before January 1, 2016 or to water or wastewater
18 fees included in a notice of intent to adopt or increase water or
19 wastewater rates and fees adopted before January 1, 2016.

20 G. For residential property of four or fewer units, a municipality
21 shall not require payment of unpaid water and wastewater service rates and
22 charges by anyone other than the person who the municipality has
23 contracted with to provide the service, who physically resides or resided
24 at the property and who receives or received the service. A property
25 owner, an immediate family member of the person who does not reside at the
26 property or any other entity, at its sole discretion, may contract for
27 water and wastewater service with a municipality and shall provide
28 payment.

29 H. For residential property of four or fewer units, a municipality
30 shall not refuse service within the municipality's service area for the
31 unpaid water and wastewater rates and charges to anyone other than the
32 person who physically resided and received the service at the property. A
33 property owner, at the owner's sole discretion, may contract for water and
34 wastewater service with a municipality and shall provide payment for that
35 service.

36 ~~<<Sec. 3. Section 11-1102, Arizona Revised Statutes, is amended to~~
37 ~~read:~~

38 ~~11-1102. County development fees; imposition by counties;~~
39 ~~infrastructure improvements plan; advisory~~
40 ~~committee; annual report; limitation on actions;~~
41 ~~definitions~~

42 ~~A. A county may assess development fees to offset costs to the~~
43 ~~county associated with providing necessary public services to a~~
44 ~~development, including the costs of infrastructure, improvements, real~~
45 ~~property, engineering and architectural services, financing and~~
46 ~~professional services required for the preparation or revision of~~
47 ~~a development fee FEES pursuant to this section, including the relevant~~
48 ~~portion of the infrastructure improvements plan.~~

~~1 B. Development fees assessed under this section are subject to the~~
~~2 following requirements:~~

~~3 1. Development fees shall result in a beneficial use to the~~
~~4 development.~~

~~5 2. The county shall calculate the development fee FEES based on the~~
~~6 infrastructure improvements plan adopted pursuant to this section.~~

~~7 3. The development fees may not exceed a proportionate share of the~~
~~8 cost of necessary public services, based on service units, needed to~~
~~9 provide necessary public services to the development.~~

~~10 4. Costs for necessary public services made necessary by new~~
~~11 development shall be based on the same level of service provided to~~
~~12 existing development in the service area at the time the infrastructure~~
~~13 improvements plan is adopted.~~

~~14 5. Development fees may not be used for any of the following:~~

~~15 (a) Funding a level of service that is higher than the current~~
~~16 level of service provided to existing development at the time the~~
~~17 infrastructure improvements plan is adopted.~~

~~18 (b) Construction, acquisition or expansion of public facilities or~~
~~19 assets other than necessary public services or facility expansions~~
~~20 identified in the infrastructure improvements plan.~~

~~21 (c) Repair, operation or maintenance of existing or new necessary~~
~~22 public services or facility expansions.~~

~~23 (d) Upgrading, updating, expanding, correcting or replacing~~
~~24 existing necessary public services to serve existing development in order~~
~~25 to meet stricter safety, efficiency, environmental or regulatory~~
~~26 standards.~~

~~27 (e) Upgrading, updating, expanding, correcting or replacing~~
~~28 existing necessary public services to provide a higher level of service to~~
~~29 existing development.~~

~~30 (f) Administrative, maintenance or operating costs of the county.~~

~~31 6. Any development for which development fees have been paid is~~
~~32 entitled to the use and benefit of the services for which the development~~
~~33 fees were imposed and is entitled to receive immediate service from any~~
~~34 existing facility with available capacity to serve the new service units~~
~~35 if the available capacity has not been reserved or pledged in connection~~
~~36 with the construction or financing of the facility.~~

~~37 7. Development fees may be collected if any of the following~~
~~38 occurs:~~

~~39 (a) The collection is made to pay for a necessary public service or~~
~~40 facility expansion that is identified in the infrastructure improvements~~
~~41 plan and the county plans to complete construction and have the service~~
~~42 available within the time period established in the infrastructure~~
~~43 improvements plan, but not longer than the time period provided in~~
~~44 subsection J, paragraph 3 of this section.~~

~~45 (b) The county reserves capacity in the infrastructure improvements~~
~~46 plan adopted pursuant to this section or otherwise agrees to reserve~~
~~47 capacity to serve future development.~~

~~(c) The county requires or agrees to allow the owner of a development to construct or finance the necessary public service or facility expansion and any of the following applies:~~

~~(i) The costs incurred or monies advanced are credited against or reimbursed from the development fees otherwise due from a development. The amount of credits issued shall equal the costs identified by the county in the infrastructure improvements plan associated with the construction of the necessary public services or facility expansions. The county shall allow the owner to assign the credits from the development fees otherwise due from a development and any excess credits to other developments for the same category of necessary public services in the same service area.~~

~~(ii) The county reimburses the owner for those costs from the development fees paid from all developments that will use those necessary public services or facility expansions. The county shall allow the owner to assign the reimbursement rights to other developments for the same category of necessary public services in the same service area.~~

~~8. Projected interest charges and other finance costs may be included in determining the amount of development fees only if the monies are used for the payment of principal and interest on the portion of the bonds, notes or other obligations issued to finance construction of necessary public services or facility expansions identified in the infrastructure improvements plan.~~

~~9. Monies received from development fees shall be placed in a separate fund and accounted for separately and may only be used for the purposes authorized by this section. Monies received from development fees identified in an infrastructure improvements plan adopted or updated pursuant to subsection E of this section shall be used to provide the same category of necessary public services or facilities expansions for which the development fee was assessed and for the benefit of the same service area as defined in the infrastructure improvements plan in which the development fees were assessed. Interest earned on monies in the separate fund shall be credited to the fund.~~

~~10. The county shall prescribe the schedule for paying the development fees. Based on the costs identified in the infrastructure improvements plan, the county shall provide a credit toward the payment of the development fees for the required or agreed to dedication of public sites, improvements and other necessary public services or facility expansions included in the infrastructure improvements plan and for which development fees are assessed, to the extent the public sites, improvements and necessary public services or facility expansions are provided by the developer. On request of the developer, instead of providing a credit toward the payment of development fees, the county shall provide for reimbursement from the development fees paid from all development that will use those public sites, improvements or necessary public services or facility expansions of the actual costs of the required or agreed to dedication of public sites, improvements or other necessary public services or facility expansions included in the infrastructure improvements plan and for which development fees are assessed, to the~~

~~1 extent the public sites, improvements and necessary public services or
2 facility expansions are provided by the developer. The developer of
3 residential dwelling units shall be required to pay the fees when
4 construction permits for the dwelling units are issued, or at a later time
5 if specified in the development agreement pursuant to section 11-1101. If
6 a development agreement provides for development fees to be paid at a time
7 later than the issuance of construction permits, the deferred development
8 fees shall be paid not later than fifteen days after the issuance of a
9 certificate of occupancy. The development agreement shall provide for the
10 value of any deferred development fees to be supported by an appropriate
11 security, including a surety bond, letter of credit or cash bond FIFTEEN
12 DAYS AFTER THE CERTIFICATE OF OCCUPANCY IS ISSUED.~~

~~13 11. If a county requires as a condition of development approval the
14 construction or improvement of, contributions to or dedication of any
15 facilities that were not included in a previously adopted infrastructure
16 improvements plan, the county shall cause the infrastructure improvements
17 plan to be amended to include the facilities and shall provide a credit
18 toward the payment of development fees for the construction, improvement,
19 contribution or dedication of the facilities to the extent that the
20 facilities will substitute for or otherwise reduce the need for other
21 similar facilities in the infrastructure improvements plan for which
22 development fees were assessed. If a county requires as a condition of
23 development approval the set aside of active or passive open space, the
24 county shall issue a credit toward any development fees identified in the
25 infrastructure improvements plan to fund any park facilities or facility
26 expansion. On request of the individual or entity seeking development
27 approval, instead of issuing a credit toward the payment of development
28 fees, the county shall provide for reimbursement from the development fees
29 paid from all development that will use those facilities or facility
30 expansions of the actual costs of the construction or improvement of,
31 contributions to or dedication of the public facilities required as a
32 condition of development approval.~~

~~33 12. The county shall forecast the contribution to be made in the
34 future in cash, taxes, fees, assessments and all other sources of revenue
35 derived from the property owner towards the capital costs of the necessary
36 public service covered by the development fees.~~

~~37 13. If development fees are assessed against residential
38 development, the county shall also assess development fees against
39 commercial and industrial development. The county may distinguish between
40 different categories of residential, commercial and industrial development
41 in assessing the costs to the county of providing necessary public
42 services to new development and in determining the amount of the
43 development fees applicable to the category, except that the county may
44 not distinguish residential developments on the basis of the size of the
45 dwelling unit or number of bedrooms. If a county agrees to waive any of
46 the development fees assessed on a development, the county shall reimburse
47 the appropriate development fees accounts for the amount that was
48 waived. The county shall provide notice of any such waiver to the
49 advisory committee established pursuant to subsection I of this section.~~

1 ~~14. In determining and assessing development fees applying to land~~
2 ~~in a community facilities district established under title 48, chapter 4,~~
3 ~~article 6, the county shall take into account all public infrastructure~~
4 ~~provided by the district and capital costs paid by the district for~~
5 ~~necessary public services and shall not assess a portion of the~~
6 ~~development fees based on the infrastructure or costs.~~

7 ~~15. The county shall not assess or collect development fees from a~~
8 ~~school district or charter school, other than fees assessed or collected~~
9 ~~for streets and water and wastewater utility functions.~~

10 ~~16. THE ADOPTION OF AN INCREASE IN A CURRENT DEVELOPMENT FEE~~
11 ~~PURSUANT TO SUBSECTION E OF THIS SECTION IS SUBJECT TO THE FOLLOWING:~~

12 ~~(a) AN INCREASE OF LESS THAN TWENTY-FIVE PERCENT OF THE CURRENT~~
13 ~~DEVELOPMENT FEE SHALL BE IMPLEMENTED IN TWO EQUAL ANNUAL INSTALLMENTS~~
14 ~~BEGINNING ON THE DATE ON WHICH THE INCREASED DEVELOPMENT FEE IS ADOPTED.~~

15 ~~(b) AN INCREASE OF MORE THAN TWENTY-FIVE PERCENT BUT LESS THAN~~
16 ~~FIFTY PERCENT OF THE CURRENT DEVELOPMENT FEE SHALL BE IMPLEMENTED IN FOUR~~
17 ~~EQUAL ANNUAL INSTALLMENTS BEGINNING ON THE DATE ON WHICH THE INCREASED~~
18 ~~DEVELOPMENT FEE IS ADOPTED.~~

19 ~~(c) AN INCREASE IN A DEVELOPMENT FEE MAY NOT EXCEED FIFTY PERCENT~~
20 ~~OF THE CURRENT DEVELOPMENT FEE.~~

21 ~~(d) A DEVELOPMENT FEE MAY NOT BE INCREASED MORE THAN ONCE EVERY~~
22 ~~FOUR YEARS AND MAY NOT BE INCREASED RETROACTIVELY IN A CURRENT FISCAL OR~~
23 ~~CALENDAR YEAR OR TO A PREVIOUS FISCAL OR CALENDAR YEAR.~~

24 ~~C. Before assessing development fees, the county shall:~~

25 ~~1. Give at least thirty days' advance notice of intention to assess~~
26 ~~new or increased development fees.~~

27 ~~2. Release to the public and post on the county's website a written~~
28 ~~report of the land use assumptions and infrastructure improvements plan~~
29 ~~adopted pursuant to subsection E of this section.~~

30 ~~3. Conduct a public hearing on the proposed development fees at any~~
31 ~~time after the expiration of the thirty-day notice of intention to assess~~
32 ~~development fees and at least thirty days before the scheduled date of~~
33 ~~adoption of the development fees. Within sixty days after the date of the~~
34 ~~public hearing on the proposed development fees, the county shall approve~~
35 ~~or disapprove the imposition of the development fees. A county may not~~
36 ~~adopt an ordinance, order or resolution approving development fees as an~~
37 ~~emergency measure.~~

38 ~~D. Development fees assessed pursuant to this section are not~~
39 ~~effective for at least ninety days after formal adoption by the board of~~
40 ~~supervisors.~~

41 ~~E. Before the adoption or amendment of development fees or~~
42 ~~amendment of the boundaries of a service area, the board of supervisors~~
43 ~~shall adopt or update the land use assumptions and infrastructure~~
44 ~~improvements plan for the designated service area. The county shall~~
45 ~~conduct a public hearing on the land use assumptions and infrastructure~~
46 ~~improvements plan at least thirty days before the adoption or update of~~
47 ~~the infrastructure improvements plan. The county shall release the~~
48 ~~infrastructure improvements plan to the public, post the infrastructure~~
49 ~~improvements plan on the county's website, including in the posting the~~

~~1 land use assumptions, the time period of the projections, a description of
2 the necessary public services included in the infrastructure improvements
3 plan and a map of the service area to which the land use assumptions
4 apply, make available to the public the documents used to prepare the land
5 use assumptions and infrastructure improvements plan and provide public
6 notice at least sixty days before the public hearing, subject to the
7 following:~~

~~8 1. The land use assumptions and infrastructure improvements plan
9 shall be approved or disapproved within sixty days after the public
10 hearing on the land use assumptions and infrastructure improvements plan
11 and at least thirty days before the public hearing on the report required
12 by subsection C of this section. A county may not adopt an ordinance,
13 order or resolution approving the land use assumptions or infrastructure
14 improvements plan as an emergency measure.~~

~~15 2. An infrastructure improvements plan shall be developed by
16 qualified professionals using generally accepted engineering and planning
17 practices pursuant to subsection F of this section.~~

~~18 3. A county shall update the land use assumptions and
19 infrastructure improvements plan at least every five years. The initial
20 five-year period begins on the day the infrastructure improvements plan is
21 adopted. The county shall review and evaluate the current land use
22 assumptions and shall cause an update of the infrastructure improvements
23 plan to be prepared pursuant to this section.~~

~~24 4. Within sixty days after completion of the updated land use
25 assumptions and infrastructure improvements plan, the county shall
26 schedule and provide notice of a public hearing to discuss and review the
27 update and shall determine whether to amend the land use assumptions and
28 infrastructure improvements plan.~~

~~29 5. A county shall hold a public hearing to discuss the proposed
30 amendments to the land use assumptions, the infrastructure improvements
31 plan or the development fees. The land use assumptions and the
32 infrastructure improvements plan, including the amount of any proposed
33 changes to the development fees per service unit, shall be made available
34 to the public on or before the date of the first publication of the notice
35 of the hearing on the amendments.~~

~~36 6. The hearing procedures prescribed in paragraph 1 of this
37 subsection apply to a hearing on the amendment of land use assumptions, an
38 infrastructure improvements plan or development fees. Within sixty days
39 after the date of the public hearing on the amendments, a county shall
40 approve or disapprove the amendments to the land use assumptions,
41 infrastructure improvements plan or development fees. A county may not
42 adopt an ordinance, order or resolution approving the amended land use
43 assumptions, infrastructure improvements plan or development fees as an
44 emergency measure.~~

~~45 7. The advisory committee established under subsection I of this
46 section shall file its written comments on any proposed or updated land
47 use assumptions, infrastructure improvements plan and development fees
48 before the fifth business day before the date of the public hearing on the~~

~~1 proposed or updated land use assumptions, infrastructure improvements plan
2 and development fees.~~

~~3 8. If, at the time an update as prescribed in paragraph 3 of this
4 subsection is required, the county determines that no changes to the land
5 use assumptions, infrastructure improvements plan or development fees are
6 needed, the county, as an alternative to the updating requirements of this
7 subsection, may publish notice of the determination on the county's
8 website that includes the following:~~

~~9 (a) A statement that the county has determined that no change to
10 the land use assumptions, infrastructure improvements plan or development
11 fees is necessary.~~

~~12 (b) A description and map of the service area in which an update
13 has been determined to be unnecessary.~~

~~14 (c) A statement that by a specified date, which shall be at least
15 sixty days after the date of publication of the first notice, a person may
16 request to the county in writing that the county update the land use
17 assumptions, infrastructure improvements plan or development fees.~~

~~18 (d) A statement identifying the person or entity to whom the
19 written request for an update should be sent.~~

~~20 9. If, by the date specified pursuant to paragraph 8 of this
21 subsection, a person requests in writing that the county update the land
22 use assumptions, infrastructure improvements plan or development fees, the
23 county shall cause, accept or reject an update of the land use
24 assumptions, infrastructure improvements plan or development fees to be
25 prepared pursuant to this section.~~

~~26 10. Notwithstanding the notice and hearing requirements for
27 adoption of an infrastructure improvements plan, the county may amend an
28 infrastructure improvements plan without a public hearing if the amendment
29 addresses only elements of necessary public services in the existing
30 infrastructure improvements plan and the changes to the plan will not,
31 individually or cumulatively with other amendments adopted pursuant to
32 this subsection, increase the level of service in the service area or
33 cause an increase in development fees that is greater than five percent
34 when new or modified development fees are assessed pursuant to this
35 section. The county shall provide notice of the amendment at least thirty
36 days before adoption, shall post the amendment on the county's website and
37 shall provide notice to the advisory committee established pursuant to
38 subsection I of this section that the amendment complies with this
39 subsection.~~

~~40 F. For each necessary public service that is the subject of
41 development fees, the infrastructure improvements plan shall include:~~

~~42 1. A description of the existing necessary public services in the
43 service area and the costs to upgrade, update, improve, expand, correct or
44 replace those necessary public services to meet existing needs and usage
45 and stricter safety, efficiency, environmental or regulatory standards.
46 The description shall be prepared by qualified professionals who are
47 licensed in this state, as applicable.~~

~~48 2. An analysis of the total capacity, the level of current usage
49 and commitments for usage of capacity of the existing necessary public~~

1 ~~services. The analysis shall be prepared by qualified professionals who~~
2 ~~are licensed in this state, as applicable.~~

3 ~~3. A description of all or the parts of the necessary public~~
4 ~~services or facility expansions and their costs necessitated by and~~
5 ~~attributable to new development in the service area based on the approved~~
6 ~~land use assumptions, including a forecast of the cost of infrastructure,~~
7 ~~improvements, real property, financing, engineering and architectural~~
8 ~~services. The description shall be prepared by qualified professionals~~
9 ~~who are licensed in this state, as applicable.~~

10 ~~4. A table that establishes the specific level or quantity of use,~~
11 ~~consumption, generation or discharge of a service unit for each category~~
12 ~~of necessary public services or facility expansions and an equivalency or~~
13 ~~conversion table that establishes the ratio of a service unit to various~~
14 ~~types of land uses, including residential, commercial and industrial.~~

15 ~~5. A description of all the costs necessitated by ongoing~~
16 ~~maintenance and operations of the necessary public services once~~
17 ~~construction is completed and a description of the source of revenue to be~~
18 ~~used to fund the maintenance and operations.~~

19 ~~6. The total number of projected service units necessitated by and~~
20 ~~attributable to new development in the service area based on the approved~~
21 ~~land use assumptions and calculated pursuant to generally accepted~~
22 ~~engineering and planning criteria.~~

23 ~~7. The projected demand for necessary public services or facility~~
24 ~~expansions required by new service units for a period of not more than ten~~
25 ~~years.~~

26 ~~8. A forecast of revenues generated by new service units other than~~
27 ~~development fees, including estimated state shared revenue, highway user~~
28 ~~revenue, federal revenue, ad valorem property taxes, construction~~
29 ~~contracting or similar excise taxes and the capital recovery portion of~~
30 ~~utility fees attributable to development based on the approved land use~~
31 ~~assumptions, and a plan to include these contributions in determining the~~
32 ~~extent of the burden imposed by the development as required in subsection~~
33 ~~B, paragraph 12 of this section.~~

34 ~~G. A county's infrastructure improvements plan may identify~~
35 ~~necessary public services or facility expansions that the county plans to~~
36 ~~construct beyond the time period provided for in subsection J, paragraph 3~~
37 ~~of this section but may not include the costs of those necessary public~~
38 ~~services or facility expansions in the calculation of development fees.~~

39 ~~H. A county's development fees ordinance shall provide:~~

40 ~~1. That new development fees or an increased portion of modified~~
41 ~~development fees may not be assessed against a development for twenty-four~~
42 ~~months after the date that the county issues the final approval for a~~
43 ~~commercial, industrial or multifamily development or the date that the~~
44 ~~first building permit FINAL SUBDIVISION PLAT APPROVAL is issued for a~~
45 ~~residential development pursuant to an approved site plan or subdivision~~
46 ~~plat, only if subsequent changes are not made to the approved site plan or~~
47 ~~subdivision plat that would increase the number of service units. If the~~
48 ~~number of service units increases, the new or increased portion of~~
49 ~~modified development fees shall be limited to the amount attributable to~~

~~1 the additional service units. The period is not extended by a renewal or
2 amendment of the site plan or the final subdivision plat that was the
3 subject of the final approval. The county shall issue, on request, a
4 written statement of the development fees schedule applicable to the
5 development. If, after the date of the county's final approval of a
6 development, the county reduces the development fees assessed on
7 development, the reduced fees shall apply to the development.~~

~~8 2. A process for a development to request an alternative
9 development fee calculation or change in category of development that
10 appears on an adopted development fee schedule based on a projection that
11 the actual burdens and costs associated with the county's provision of
12 necessary public services or facility expansions to the development that
13 are to be paid by development fees will differ substantially from those
14 costs projected by the county or will be substantially less than the
15 amount projected to be paid by development fees. The county manager or
16 the county manager's designee shall review the request and make a
17 determination as to the development fee to be assessed. The assessed
18 development fee shall have a substantial nexus to the actual burdens and
19 costs associated with providing the necessary public services or facility
20 expansions to that development that are to be funded by development fees.
21 The determination of the county manager is appealable to the board of
22 supervisors.~~

~~23 i. A county shall do one of the following:~~

~~24 i. Before the adoption of the proposed or updated land use
25 assumptions, infrastructure improvements plan and development fees as
26 prescribed in subsection E of this section, appoint an infrastructure
27 improvements advisory committee, subject to the following requirements:~~

~~28 (a) The advisory committee shall be composed of at least five
29 members who are appointed by the board of supervisors. At least fifty
30 percent of the members of the advisory committee must be representatives
31 of the real estate, development or building industries, of which at least
32 one member of the committee must be from the home building industry.
33 Members may not be employees or officials of the county.~~

~~34 (b) The advisory committee shall serve in an advisory capacity and
35 shall:~~

~~36 (i) Advise the county in adopting land use assumptions and in
37 determining whether the assumptions are in conformance with the general
38 plan of the county.~~

~~39 (ii) Review the infrastructure improvements plan and file written
40 comments.~~

~~41 (iii) Monitor and evaluate implementation of the infrastructure
42 improvements plan.~~

~~43 (iv) Every year file reports with respect to the progress of the
44 infrastructure improvements plan and the collection and expenditures of
45 development fees and report to the county any perceived inequities in
46 implementing the infrastructure improvements plan or assessing the
47 development fees.~~

~~48 (v) Advise the county of the need to update or revise the land use
49 assumptions, infrastructure improvements plan and development fees.~~

1 ~~(c) The county shall make available to the advisory committee any~~
2 ~~professional reports with respect to developing and implementing the~~
3 ~~infrastructure improvements plan.~~

4 ~~(d) The county shall adopt procedural rules for the advisory~~
5 ~~committee to follow in carrying out the advisory committee's duties.~~

6 ~~2. Provide for a biennial certified audit of the county's land use~~
7 ~~assumptions, infrastructure improvements plan and development fees. An~~
8 ~~audit pursuant to this paragraph shall be conducted by one or more~~
9 ~~qualified professionals who are not employees or officials of the county~~
10 ~~and who did not prepare the infrastructure improvements plan. The audit~~
11 ~~shall review the progress of the infrastructure improvements plan,~~
12 ~~including the collection and expenditures of development fees for each~~
13 ~~project in the infrastructure improvements plan, and evaluate any~~
14 ~~inequities in implementing the infrastructure improvements plan or~~
15 ~~imposing the development fees. The county shall post the findings of the~~
16 ~~audit on the county's website and shall conduct a public hearing on the~~
17 ~~audit within sixty days after the release of the audit to the public.~~

18 ~~j. On written request, an owner of real property for which~~
19 ~~development fees have been paid after December 31, 2020 is entitled to a~~
20 ~~refund of the development fees or any part of the development fees if:~~

21 ~~1. Pursuant to subsection B, paragraph 6 of this section, existing~~
22 ~~facilities are available and service is not provided.~~

23 ~~2. The county, after collecting the fees to construct a facility~~
24 ~~when service is not available, has failed to complete construction within~~
25 ~~the time period identified in the infrastructure improvements plan, but in~~
26 ~~no event later than the time period specified in paragraph 3 of this~~
27 ~~subsection.~~

28 ~~3. For development fees other than development fees for water or~~
29 ~~wastewater facilities, any part of the development fees is not spent as~~
30 ~~authorized by this section within ten years after the fees have been paid~~
31 ~~or, for development fees for water or wastewater facilities, any part of~~
32 ~~the development fees is not spent as authorized by this section within~~
33 ~~fifteen years after the development fees have been paid.~~

34 ~~k. If the development fees were collected for the construction of~~
35 ~~all or a portion of a specific item of infrastructure, and on completion~~
36 ~~of the infrastructure the county determines that the actual cost of~~
37 ~~construction was less than the forecasted cost of construction on which~~
38 ~~the development fees were based and the difference between the actual and~~
39 ~~estimated cost is greater than ten percent, the current owner may receive~~
40 ~~a refund of the portion of the development fees equal to the difference~~
41 ~~between the development fees paid and the development fees that would have~~
42 ~~been due if the development fees had been calculated at the actual~~
43 ~~construction cost.~~

44 ~~l. A refund shall include any interest earned by the county from~~
45 ~~the date of collection to the date of refund on the amount of the refunded~~
46 ~~fees. All refunds shall be paid to the owner of record of the property at~~
47 ~~the time the refund is paid. If the development fees are paid by a~~
48 ~~governmental entity, the refund shall be paid to the governmental entity.~~

1 ~~M. Development fees that were adopted before January 1, 2017 may~~
2 ~~continue to be assessed only to the extent that the development fees will~~
3 ~~be used to provide a necessary public service for which development fees~~
4 ~~can be assessed pursuant to this section and shall be replaced by~~
5 ~~development fees imposed under this section on or before January 1, 2021.~~
6 ~~Any county having development fees that have not been replaced under this~~
7 ~~section on or before January 1, 2021 may not collect development fees~~
8 ~~until the development fees have been replaced with fees that comply with~~
9 ~~this section. Development fees adopted or amended by a county after~~
10 ~~January 1, 2017 shall comply with this section. Any development fees~~
11 ~~monies collected before January 1, 2017 remaining in a development fees~~
12 ~~account:~~

13 ~~1. Shall be used towards TOWARD the same category of necessary~~
14 ~~public services as authorized by this section.~~

15 ~~2. And THAT WERE collected for a purpose not authorized by this~~
16 ~~section shall be used for the purpose for which the development fees were~~
17 ~~collected on or before January 1, 2024, and after which, if not spent,~~
18 ~~shall be distributed equally among the categories of necessary public~~
19 ~~services authorized by this section.~~

20 ~~N. A moratorium may not be placed on development for the sole~~
21 ~~purpose of awaiting completion of all or any part of the process necessary~~
22 ~~to develop, adopt or update development fees.~~

23 ~~O. In any judicial action interpreting this section all powers~~
24 ~~conferred on a county by this section shall be narrowly construed to~~
25 ~~ensure that development fees are not used to impose on new residents a~~
26 ~~burden all taxpayers of a county should bear equally.~~

27 ~~P. Each county that assesses development fees shall submit an~~
28 ~~annual report accounting for the collection and use of the fees for each~~
29 ~~service area. The annual report shall include the following:~~

30 ~~1. The amount assessed by the county for each type of development~~
31 ~~fee.~~

32 ~~2. The balance of each fund maintained for each type of development~~
33 ~~fee assessed as of the beginning and end of the fiscal year.~~

34 ~~3. The amount of interest or other earnings on the monies in each~~
35 ~~fund as of the end of the fiscal year.~~

36 ~~4. The amount of development fee monies used to repay:~~

37 ~~(a) Bonds issued by the county to pay the cost of a necessary~~
38 ~~public service that is the subject of a development fees assessment,~~
39 ~~including the amount needed to repay the debt service obligations on each~~
40 ~~facility for which development fees have been identified as the source of~~
41 ~~funding and the time frames in which the debt service will be repaid.~~

42 ~~(b) Monies advanced by the county from funds other than the funds~~
43 ~~established for development fees in order to pay the cost of a necessary~~
44 ~~public service that is the subject of a development fees assessment, the~~
45 ~~total amount advanced by the county for each facility, the source of the~~
46 ~~monies advanced and the terms under which the monies will be repaid to the~~
47 ~~county.~~

48 ~~5. The amount of development fees monies spent on each necessary~~
49 ~~public service or facility expansion that is the subject of a development~~

1 ~~fees assessment and the physical location of each capital improvement~~
2 ~~project.~~

3 ~~6. The amount of development fees monies spent for each purpose~~
4 ~~other than a necessary public service or facility expansion that is the~~
5 ~~subject of a development fees assessment.~~

6 ~~Q. Within ninety days following the end of each fiscal year, each~~
7 ~~county shall submit a copy of the annual report to the clerk of the board~~
8 ~~of supervisors and post the annual report on the county's website. Copies~~
9 ~~shall be made available to the public on request. The annual report may~~
10 ~~contain financial information that has not been audited.~~

11 ~~R. A county that fails to file the report and post the annual~~
12 ~~report on the county's website as required by this section shall not~~
13 ~~collect development fees until the report is filed and posted.~~

14 ~~S. Any action to collect development fees shall be commenced within~~
15 ~~two years after the obligation to pay the development fees accrues.~~

16 ~~T. A county may continue to assess development fees adopted before~~
17 ~~January 1, 2017 for any facility that was financed before June 1, 2016 if:~~

18 ~~1. Development fees were pledged to repay debt service obligations~~
19 ~~related to the construction of the facility.~~

20 ~~2. After January 1, 2018, any development fees collected under this~~
21 ~~subsection are used solely for the payment of principal and interest on~~
22 ~~the portion of the bonds, notes or other debt service obligations issued~~
23 ~~before June 1, 2016 to finance construction of the facility.~~

24 ~~U. Through January 1, 2018, development fees adopted before January~~
25 ~~1, 2017 may be used to finance construction of a facility and may be~~
26 ~~pledged to repay debt service obligations if:~~

27 ~~1. The facility that is being financed is a facility that is~~
28 ~~described under subsection V W, paragraph 7, subdivision (a), (b),~~
29 ~~(c), OR (d) or (e) of this section.~~

30 ~~2. The facility was included in an infrastructure improvements plan~~
31 ~~adopted before June 1, 2016.~~

32 ~~3. The development fees are used for the payment of principal and~~
33 ~~interest on the portion of the bonds, notes or other debt service~~
34 ~~obligations issued to finance construction of the necessary public~~
35 ~~services or facility expansions identified in the infrastructure~~
36 ~~improvements plan.~~

37 ~~V. NOTWITHSTANDING ANY OTHER LAW, A COUNTY MAY NOT ASSESS A~~
38 ~~DEVELOPMENT FEE ON THE DEVELOPMENT OF AN ACCESSORY DWELLING UNIT. FOR THE~~
39 ~~PURPOSES OF THIS SUBSECTION, "ACCESSORY DWELLING UNIT" HAS THE SAME~~
40 ~~MEANING PRESCRIBED IN SECTION 11-810.01.~~

41 ~~V. W. For the purposes of this section:~~

42 ~~1. "Dedication" means the actual conveyance date or the date an~~
43 ~~improvement, facility or real or personal property is placed into service,~~
44 ~~whichever occurs first.~~

45 ~~2. "Development" means:~~

46 ~~(a) The subdivision of land.~~

47 ~~(b) The construction, reconstruction, conversion, structural~~
48 ~~alteration, relocation or enlargement of any structure that adds or~~
49 ~~increases the number of service units.~~

~~(c) Any use or extension of the use of land that increases the number of service units.~~

~~3. "Facility expansion" means the expansion of the capacity of an existing facility that serves the same function as an otherwise new necessary public service in order that the existing facility may serve new development. Facility expansion does not include the repair, maintenance, modernization or expansion of an existing facility to better serve existing development.~~

~~4. "Final approval" means, for nonresidential or multifamily development, the approval of a site plan or, if no site plan is submitted for the development, the approval of a final subdivision plat.~~

~~5. "Infrastructure improvements plan" means a written plan that identifies each necessary public service or facility expansion that is proposed to be the subject of development fees and otherwise complies with the requirements of this section and may be the county's capital improvements plan.~~

~~6. "Land use assumptions" means projections of changes in land uses, densities, intensities and population for a specified service area over a period of at least ten years and pursuant to the general plan of the county.~~

~~7. "Necessary public service" means any of the following facilities that have a life expectancy of three or more years and that are owned and operated by or on behalf of the county:~~

~~(a) Water facilities, including the supply, transportation, treatment, purification and distribution of water, and any appurtenances for those facilities.~~

~~(b) Wastewater facilities, including collection, interception, transportation, treatment and disposal of wastewater, and any appurtenances for those facilities.~~

~~(c) Street facilities located in the service area, including arterial or collector streets or roads that have been designated on an officially adopted plan of the county, traffic signals and rights-of-way and improvements thereon. Improvements to rights-of-way do not include streetcars, railways or other forms of transportation and their corresponding tracks.~~

~~(d) Public safety facilities, including all appurtenances, equipment and vehicles. Public safety facilities do not include a facility or portion of a facility that is used to replace services that were once provided elsewhere in the county, vehicles and equipment used to provide administrative services, helicopters or airplanes, paramilitary vehicles, court and judicial facilities, facilities that are used for training firefighters or officers from more than one station or substation or jail, correctional or detention facilities.~~

~~(e) Neighborhood parks and recreational facilities on real property up to thirty acres in area, or parks and recreational facilities larger than thirty acres if the facilities provide a direct benefit to the development. Parks and recreational facilities do not include vehicles, equipment of that portion of any facility that is used for amusement parks, aquariums, aquatic centers, auditoriums, arenas, arts and cultural~~

~~1 facilities, bandstand and orchestra facilities, bathhouses, boathouses,
2 clubhouses, community centers greater than three thousand square feet in
3 floor area, environmental education centers, equestrian facilities,
4 trails, golf course facilities, greenhouses, lakes, museums, theme parks,
5 water reclamation or riparian areas, wetlands, zoo facilities or similar
6 recreational facilities, but may include swimming pools and equipment or
7 improvements constituting accessory or incidental amenities to a park or
8 recreational facility allowed under this section.~~

~~9 (f) (e) Any facility that was financed and that meets all of the
10 requirements prescribed in subsection T of this section.~~

~~11 8. "Qualified professional" means a professional engineer,
12 surveyor, financial analyst or planner providing services within the scope
13 of the person's license, education or experience.~~

~~14 9. "Service area" means any specified area within the boundaries of
15 a county in which development will be served by necessary public services
16 or facility expansions and within which a substantial nexus exists between
17 the necessary public services or facility expansions and the development
18 being served as prescribed in the infrastructure improvements plan.~~

~~19 10. "Service unit" means a standardized measure of consumption,
20 use, generation or discharge attributable to an individual unit of
21 development calculated using data specific to the service area in which
22 the facility will be located and pursuant to generally accepted
23 engineering or planning standards for a particular category of necessary
24 public services or facility expansions.>>~~

25 Enroll and engross to conform

26 Amend title to conform

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